Swiss Life Asset Managers ESG Factsheet

Swiss Life Funds (LUX) Equity Environment & Biodiversity Impact

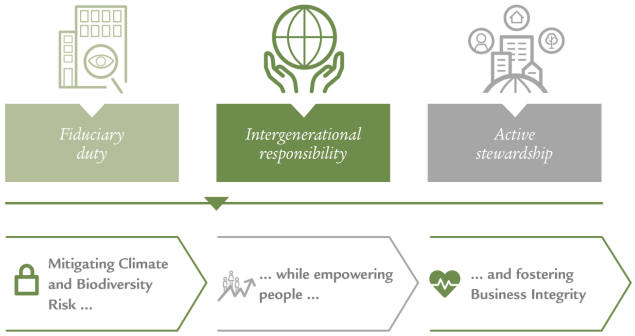
28/03/2024

Promotional document for professional investors / qualified investors

ESG at Swiss Life Asset Managers

Our ESG Concept

Our long-established tradition of responsible investment is firmly rooted in our corporate DNA. Over recent years, we have enhanced and consolidated these values to create a comprehensive approach to responsible investment. This means an explicit ESG concept, built on three pillars of corporate responsibility: fiduciary duty, intergenerational responsibility and active stewardship.



Responsible Investment Policy

At Swiss Life Asset Managers, conveying our company-wide responsible investment approach and comprehensive integration at product level is one of our key priorities.

We have designed the Swiss Life Asset Managers investment strategy with a long-term, sustainable view that is in full synergy with our insurance liabilities. Apart from having integrated environmental, social and governance (ESG) considerations across all main business activities, we are undertaking various initiatives that go beyond standard integration. To us as an asset manager devoted to its fiduciary duty, responsible investment is not only a means to redirect capital flows towards sustainable development but also an important instrument to seize investment opportunities and reduce respective risks for our investors. We trust that sound responsible investment solutions are validating their efficiency in managing risks and delivering more resilient returns, precisely because they support and finance companies acting for the well-being of society and shareholders alike.

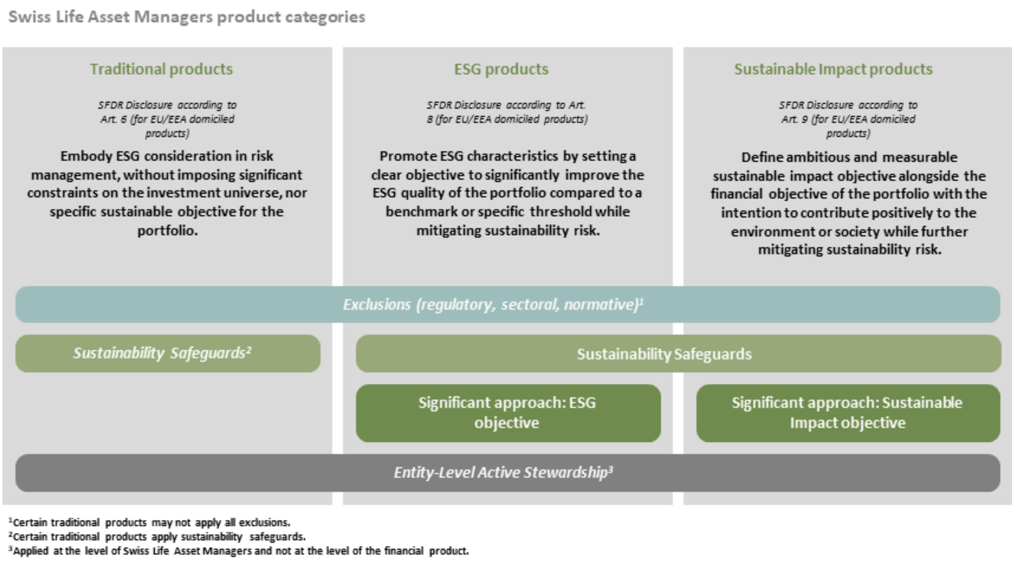
Please find more details on **www.swisslife-am.com/ri-policy**

Sustainability Product Categories

The degree of sustainability of a product depends mainly on the way in which the product’s investment components are managed. If a product uses several investment components, the share of components related to sustainability determines the sustainability category of this product. Swiss Life Asset Managers subdivides its product shelf into three categories: Traditional, ESG and Sustainable Impact.

The three sustainability categories distinguish the products according to ESG objective and strategy, ESG reporting and how ESG characteristics are addressed. To be able to allocate the products’ different characteristics to a category, Swiss Life Asset Managers has established an internal set of rules for each asset class. These rules define the characteristics required for a product to be classified as Traditional, ESG or Sustainable Impact are structured in the following way:

This ESG report reflects this structure accordingly. Please note that all KPIs of chapter I to VII are part of the products' ESG strategy if not mentioned otherwise ("disclosure only"). Please find more details on **www.swisslife-am.com/responsible-investment**



I. Executive Summary

Portfolio	Swiss Life (LUX) Equity Environment & Biodiversity Impact
AUM	175,460,000
Asset Class Classification	Equity
Label	None
Swiss Life AM Classification	Sustainable Impact
Universe	None

SFDR Disclosure	Art. 9
Considers PAIs	Yes
Addresses EU Taxonomy	No
Addresses Sustainable Investments	Yes

Sustainability Preferences

If Sustainability Preferences are not addressed in this product the below mentioned KPIs are just for disclosing purposes.

	Portfolio
Option Value	
Ratio on Taxonomy Alignment	0.00%

Significant Approach

The product seeks to achieve a positive environmental impact by investing in companies that contribute with their operations to the UN Sustainable Development Goals.

		Portfolio	Universe	
Environmental	Carbon Footprint	473		tCO2e/million invested
Environmental	Renewable Energy Consumption	18.07%		% of energy consumption mix
Social	Workforce Gender Diversity	48.13%		% of women in the executive committee vs. in total workforce

		Portfolio	Universe	
Human Rights	Workforce Covered by Collective Agreements	75.64%		% of employees
Governance	Pay Linked to Sustainability	36.54%		% of CEOs being incentivized on ESG topics
Governance	Board Gender Diversity	32.83%		balance between women and men at the board level

Remarks

At Swiss Life Asset Managers, we are committed to providing a comprehensive insight into the sustainability of its ESG and Sustainable impact funds. Our ESG factsheet covers key areas such as exclusions, sustainability safeguards, and dedicated ESG strategies employed in the management of the fund. Additionally, the report includes a carbon overview aligned with the Swiss Climate Scores framework, as well as information on our compliance with the Sustainable Finance Disclosure Regulation (SFDR) and the Markets in Financial Instruments Directive II (MiFID II). By delivering this transparent and informative ESG reporting, we aim to give a clear understanding of the sustainability characteristics and performance of the portfolios.

II. Exclusions

Our Framework

Embody ESG consideration in risk management: Swiss Life Asset Managers applies a set of exclusion rules for all managed portfolios, where possible. The aim is to avoid sustainability tail risks, without imposing significant constraints on the investment universe, nor specific sustainable objective for the portfolio. The exclusions are addressing three different areas: regulatory exclusions, normative exclusions and sectorial exclusions.

Regulatory Exclusions

Sanction Lists: Swiss Life Asset Managers applies the sanctions lists as required by law (i.e. US, EU, UN, SECO sanctions).

Controversial weapons: Beyond the sanction lists, producers and owners of producing companies of controversial weapons are excluded from the investment universe. Controversial weapons mean particularly nuclear weapons, biological weapons, chemical weapons, land mines and cluster munitions. The screen is based on one hand on the SVVK-ASIR exclusion list and FATF, and on the other hand on several ESG factors as outlined below. The figures below indicate the ratio of companies that are involved in the specific type of controversial weapons

	Portfolio (%)
Weapons	0.0
Biological/Chemical Weapons	0.0
Landmines	0.0
Cluster Munitions	96.3

Normative Exclusions

UN Global Compact: The figure below indicates the ratio of companies that fail the UN Global Compact (UNGC) principles or are on watch list to fail them. This assessment is conducted by MSCI ESG Research.

0.0%

Portfolio

Universe

	Portfolio (%)	Universe (%)

Sectorial Exclusions

Thermal Coal: Swiss Life Asset Managers exclude all the companies which have a revenue with 10 percent or more based on mining and selling of thermal coal from their portfolios. The figures below indicate the ratio of companies that match the above mentioned threshold.

0.0%

Portfolio

Universe

	Portfolio (%)
Thermal Coal	0.00

Note: please refer to Chapter VII for further Additional ESG Information

III. Sustainability Safeguards

Our Framework

Rationale: For its ESG and Sustainable Impact products, Swiss Life Asset Managers applies specific rules to ensure a distinct ESG quality of all products, regardless of their promoted E/S characteristics or sustainable investment objective. These sustainability safeguards criteria are key to mitigate both sustainable and financial downside risk of the portfolio and are outlined on Eligibility/Coverage, ESG Ratings/Controversies and Principal Adverse Impacts (PAIs).

Eligible universe vs. covered universe

Eligible universe: The eligible universe contains all the instruments which are eligible* to receive an ESG analysis. Portfolios of ESG products are invested in eligible instruments by at least 50%; Portfolios of Sustainable Impact products by at least 75%.

Covered universe: The assets in the eligible universe which are covered by the appropriate ESG data is called covered universe. For the ESG products there must be at least 90% of the eligible instruments covered and 100% within the Sustainable Impact products.

	Portfolio (%)
Eligibility	96.29
Coverage	100.00

Ratings, Score & Controversies

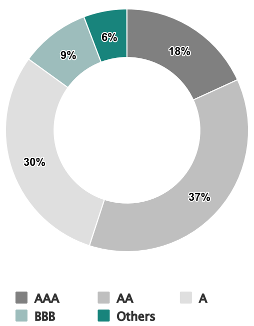
Issuers that breach one of the ESG criteria below are not investable.

ESG Rating Exclusion: An ESG product is not allowed to invest in or increase position in ‘CCC’ rated issuers. Sustainable Impact products are not allowed to invest in or increase position in ‘B’-rated issuers or lower.

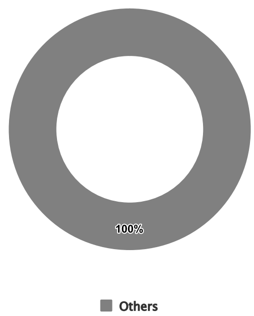
Portfolio ESG Score: Our target is that the Product's Portfolio ESG Score should be superior or equal to the Portfolio ESG Score of the traditional (non-ESG) benchmark (whether official or used in reporting).

ESG Controversies Assessment: An ESG fund is not allowed to invest in or increase position in very severe controversies (Score ‘0’ equivalent to ‘red’ flag). Sustainable Impact products are not allowed to invest in or increase position in orange flag (Score ‘1’ or below) and whenever possible exclude all severe controversies (Score of ‘3’ and below) related to the thematic of the fund.

ESG Rating Distribution

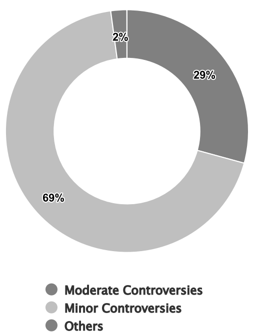


Portfolio

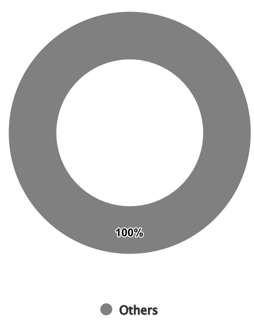


Universe

ESG Controversies Distribution



Portfolio



Universe

*For corporate ESG KPIs: corporate bonds, listed equities, SSA and government related bonds considered as corporates.
For sovereign ESG KPIs: sovereign bonds and SSA and government related bonds considered as sovereigns.
Not considered as eligible in general for quantitative ESG KPIs are derivatives, cash and cash equivalents and third-party funds.

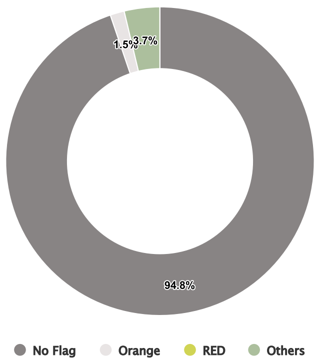
Principal Adverse Impacts (PAI)

Principal Adverse Impact Score (PAI-Score): Swiss Life Asset Managers has developed a proprietary PAI scoring system which aggregates all 14 mandatory indicators, as outlined by the EU within Annex I of the SFDR Regulatory Technical Standards (RTS). The objective is to consider the double materiality concept embedded in the SFDR and the sustainability preferences definition of MiFID II.

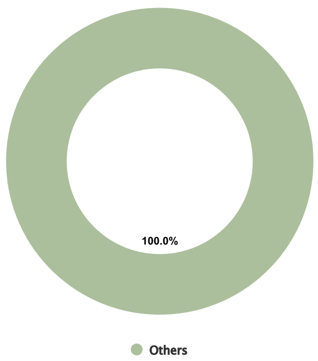
Our target: Swiss Life Asset Managers excludes issuers with a red PAI flag for ESG products and issuers with an orange or a red PAI flag for Sustainable Impact products.

PAI Flag Distribution

Portfolio



Universe



Biggest 10 holdings	Portfolio (%)	Universe (%)	ESG Rating	Controversy Flag	PAI Flag
SALMAR ASA	5.33		BBB	Yellow	No Flag
XYLEM INC.	5.06		AAA	Green	No Flag
Sumitomo Forestry Co.,Ltd.	4.82		A	Green	No Flag
WSP GLOBAL INC.	4.70		AA	Green	No Flag
AECOM	4.65		A	Yellow	No Flag
West Fraser Timber Co. Ltd.	4.50		AA	Green	No Flag
REPUBLIC SERVICES, INC.	4.49		A	Green	No Flag
WASTE MANAGEMENT, INC.	4.42		A	Yellow	No Flag
COMMERCIAL METALS COMPANY	4.32		AA	Green	No Flag
IDEX CORPORATION	3.77		AA	Green	No Flag

IV. Significant Approach: Impact

Impact Investing

Swiss Life Asset Managers' definition on sustainable investment is based on SFDR. According to the SFDR, a sustainable investment has to meet the following three criteria: Significant Contribution, Do No Significant Harm and Good Governance. These are explained in more detail below.

Significant Contribution: Sustainable investment means an investment in an economic activity that contributes to an environmental or social objective. This must be measurable, as for example, by key resource efficiency indicators on the use of energy, renewable energy, raw materials, water and land, on the production of waste, and greenhouse gas emissions, or on its impact on biodiversity and the circular economy, or an investment in an economic activity that contributes to a social objective, in particular an investment that contributes to tackling inequality or that fosters social cohesion, social integration and labour relations, or an investment in human capital or economically or socially disadvantaged communities. The impact on different SDGs can be seen as measuring instruments for the Significant Contribution.

Do No Significant Harm: DNSH means that such investments do not significantly harm any of those objectives mentioned within the Significant Contribution.

Good Governance: Additionally, the investee companies must follow good governance practices, in particular with respect to sound management structures, employee relations, remuneration of staff and tax compliance

Our Approach

The product seeks to achieve a positive environmental impact by investing in companies that contribute with their operations to the UN Sustainable Development Goals.

Fund-specific Approach

The product invests in companies which support the SDG 12, 14 and 15. Specifically, the product aim to achieve at least 30% of its weighted average revenue generated from products and services that contribute to the fund’s sustainable investment objective.

12 RESPONSIBLE CONSUMPTION AND PRODUCTION

14 LIFE BELOW WATER

15 LIFE ON LAND

	Portfolio
Revenue aligned with SDG 12	49%
Revenue Aligned with SDG 14	74%
Revenue aligned with SDG 15	74%
Revenue misaligned with any SDGs	0%

Impact KPIs

Through the investment process, the fund invests in companies that generate a positive impact. This impact is transparently measured with the amount of renewable energy that is produced by the companies in the portfolio in one year. The figure is adjusted to the fund level of ownership in the corresponding companies.

17

802

559000

401000

V. Sustainability Preferences

Our Framework

Three Sustainability Preferences: In the Commission Delegated Regulation 2021/1253*, Sustainability Preferences are defined as clients' preferences for a minimum proportion of EU Taxonomy-aligned investments, a minimum proportion of sustainable investments (as defined under SFDR) or the consideration of principal adverse impact on sustainability factors.

All 14 PAIs

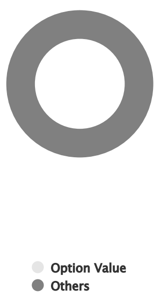
	Portfolio
1a. Scope 1 GHG emissions (tCO2e)	10,552
1b. Scope 2 GHG emissions (tCO2e)	5,935
1c. Scope 3 GHG emissions (tCO2e)	71,285
1d. Total GHG emissions (tCO2e)	86,181
2. Carbon footprint (tCO2e/MEUR invested)	491
3. GHG intensity of investee companies (tCO2e/MEUR invested)	805
4. Exposure to companies active in the fossil fuel sector (% of portfolio weight)	1
5. Share of non-renewable energy consumption and production (% of total energy sources)	77
7. Activities negatively affecting biodiversity-sensitive areas (% of portfolio weight)	35
8. Emissions to water (tWater/MEUR invested)	0
9. Hazardous waste and radioactive waste ratio (tWaste/MEUR invested)	1

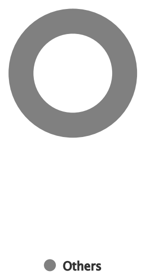
	Portfolio
10. Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises (% of portfolio weight)	0
11. Lack of processes and compliance mechanisms to monitor compliance with UN Global Compact principles and OECD Guidelines for Multinational Enterprises (% of portfolio weight)	52
12. Unadjusted gender pay gap (Ratio %)	9
13. Board gender diversity (Ratio %)	33
14. Exposure to controversial weapons (anti-personnel mines, cluster munitions, chemical weapons and biological weapons) (% of portfolio weight)	0

* This delegated act extends the existing MiFID II suitability assessments to include clients' sustainability preferences.

Ratio on Sustainable Investments

Sustainable investment: means an investment in an economic activity that contributes to an environmental objective, an investment in an economic activity that contributes to a social objective.





Ratio on Taxonomy Alignment

Taxonomy-alignment: means an investment in economic activities that contributes to an environmental objective which is aligned with the EU taxonomy.

0.00%

Portfolio

Universe

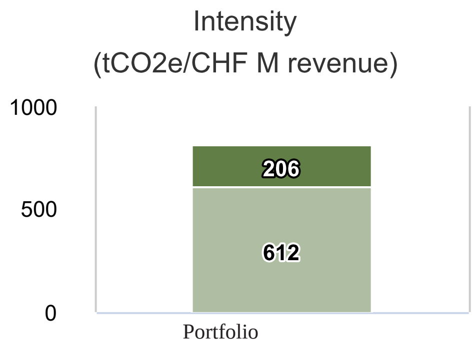
VI. Climate Overview: Swiss Climate Scores Current State

About the Swiss Climate Scores

Switzerland and its financial market are committed to transitioning to net-zero greenhouse gas emissions by 2050. This is needed to honor its obligations under the Paris Agreement of holding the increase in the global temperature to well below 2°C and pursuing efforts to limit it to 1.5°C. Current science indicates that global warming beyond 1.5°C has potentially catastrophic impacts on the natural world and human society.
The Swiss climate scores establish best-practice transparency on the Paris-alignment of financial investments to foster investments decisions that contribute to reaching the climate goals

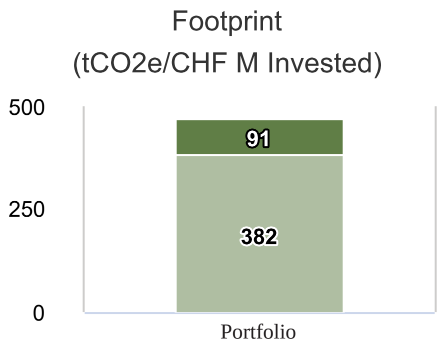
Greenhouse Gas Emissions

Encompasses all sources of greenhouse gas emissions from invested companies (scope 1-3), including relevant emissions of their suppliers and products.



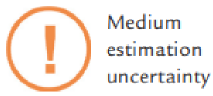
Portfolio Scope 1&2

Portfolio Scope 3



Portfolio Scope 1&2

Portfolio Scope 3



Exposure to Fossil Fuel Activities (disclosure only)

There is scientific consensus of the need to phase-out coal and stop financing new fossil fuel projects. Below figures show the share of investments into companies that earn more than 5% of their revenues from such business activities.

Share of investments into companies with activities in **coal** (>5% revenue threshold)

0.0%

Portfolio

Universe

Share of investments into companies with activities in **other fossil fuels**

0.0%

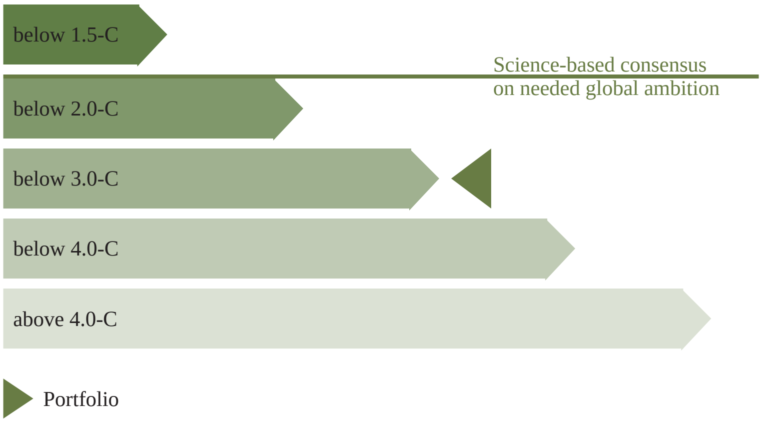
Portfolio

Universe

VI. Climate Overview: Swiss Climate Scores Transition to Net Zero

Global Warming Alignment (disclosure only)

This is the level of global warming that would occur if the global economy acted with the same ambition as the companies in the portfolio. Some portfolios with climate objectives may intentionally include investments in companies that are not yet on track to 1.5°C, but seek to contribute actively to climate goals by improving the alignment of investee companies to bring a larger share of the economy into alignment over time.



2.1°

Portfolio

Universe

Portfolio assets covered by assessment:
Climate scenarios used: **NGFS REMIND:**
Data model: **Implied Temperature Rise**
Data provider: **MSCI ENG Inc.**

High estimation uncertainty

Verified Commitments to Net-Zero (disclosure only)

Companies are increasingly committing voluntarily to transitioning to net-zero and setting interim targets. The effectiveness of such commitments depends on whether interim targets are credible, sciencebased, and transparent.

Share of companies in portfolio with verified commitments to net-zero and credible interim targets:

51%

Portfolio

Universe

Low estimation uncertainty

Credible Climate Stewardship

Financial institutions can contribute to the transition to net-zero, by engaging with invested companies on third-party verified, sciencebased net-zero aligned transition plans until 2050.

Are companies in the portfolio subject to credible stewardship on climate transition?	**not available**
Share of companies currently under active climate engagement:	**not available**
Share of climate votes supported:	**not available**
Link to climate stewardship strategy and report:	**https://www.swisslife-am.com/en/home/funds-invest/responsible-investment/active-stewardship.html**
Is the financial institution a member of a climate engagement initiative?	**yes (Climate Action 100+)**

Management to Net-Zero (disclosure only)

Financial institutions can contribute to the transition to net-zero, by aligning their investment strategy with a consistent 1.5°C decarbonisation pathway.

Does the investment strategy include a goal to reduce the greenhouse gas emissions of its underlying investments through concrete short (1-3 years) or midterm (5 years) targets?	**no**
Is the portfolio part of a third-party verified commitment to net-zero by the financial institution, including credible interim targets?	**no**

not available

Average annual reduction path excl. relevant Scope 3

not available

Average annual reduction path incl. relevant Scope 3

VII. Additional ESG Information (disclosure only)

Exposure to Critical Business Involvements

Critical Business Involvements identifies companies involved in activities that are controversial due to ethical, religious or political views, such as production of alcohol, weapons, tobacco, and others. Swiss Life Asset Managers analyses its portfolios regarding 11 Business Involvement exposure types, all of which are analysed here.

Largest Portfolio Positions with Exposure

	Portfolio (%)	Critical Business Involvement
SALMAR ASA	5.33	Unconventional Oil & Gas
XYLEM INC.	5.06	Unconventional Oil & Gas
Sumitomo Forestry Co.,Ltd.	4.82	Unconventional Oil & Gas
WSP GLOBAL INC.	4.70	Unconventional Oil & Gas
AECOM	4.65	Unconventional Oil & Gas

Portfolio Exposure by Business

	Portfolio (%)
Adult Entertainment	0.00%
Alcohol	0.00%
Gambling	0.00%
Genetic Engineering	0.00%
Weapons (Civilean Firearms Producer)	0.00%
Weapons (Nuclear Componets)	0.00%
Weapons (Nuclear Warheads & Missiles	0.00%
Nuclear Power	0.00%
Tobacco	0.00%
Unconventional Oil & Gas	96.29%

VIII. Appendix

Portfolio Breakdown

Portfolio Breakdown

Portfolio	Weight	Rating	Score
SALMAR ASA	5.33	BBB	
XYLEM INC.	5.06	AAA	
Sumitomo Forestry Co.,Ltd.	4.82	A	
WSP GLOBAL INC.	4.70	AA	
AECOM	4.65	A	
West Fraser Timber Co. Ltd.	4.50	AA	
REPUBLIC SERVICES, INC.	4.49	A	
WASTE MANAGEMENT, INC.	4.42	A	
COMMERCIAL METALS COMPANY	4.32	AA	
IDEX CORPORATION	3.77	AA	

Portfolio Statistics

Exclusions	Nuclear Weapons	96.29%
	UNGC Compliance	96.29%
	Thermal Coal	96.29%
Sustainability Safeguards	Controversies	94.23%
	PAI Score	96.27%
Climate Overview	Implied Temperature Rise	94.23%
Additional ESG Information	Critical Business Involvements	99.24%
	GCEL Companies	96.27%

Universe Statistics

Exclusions	Nuclear Weapons	
	UNCG Compliance	
	Thermal Coal	
Sustainability Safeguards	Controversies	
	PAI Score	
Climate Overview	Implied Temperature Rise	
Additional ESG Information	Critical Business Involvements	
	GCEL Companies	

Portfolio Metadata

$	Currency	CHF
	Portfolio Value	175,460,000.0
	Dataprovider	MSCI ESG Research LLC Bloomberg

Explanatory Notes

The total reported value of the portfolio as well as other metrics can vary between this document and other portfolio documents provided by Swiss Life Asset Managers due to different ESG-related metrics. Many terms and metrics are described in more detail in the "Glossary" part of this document. Further information about the portfolios can be found at www.swisslife-am.com/responsible-investment and/or funds.swisslife-am.com.

Glossary

Parameter	Description
MSCI ESG Rating / Score	The portfolio level MSCI ESG score is designed to help clients understand the resilience of a fund to long term ESG risks and opportunities. The portfolio level MSCI ESG score aggregates the industry-adjusted or government-adjusted ESG scores of the underlying holdings to provide clients with an indication of the overall fund-level ESG Rating. The score is provided on a 0-10 score, with 0 and 10 being the respective lowest and highest possible fund scores. Translated into an ESG Rating, the portfolio can be classified between CCC and AAA.
E,S,G	"Environmental" a portfolio's Environmental Score measures holdings' management of and exposure to key environmental risks and opportunities. "Social" a portfolio's Social Score measures holdings' management of and exposure to key social risks and opportunities. "Governance" a portfolio's Governance Score measures holdings' management of and exposure to key governance risks and opportunities.
Tail risk	High risk involving unpredictable events.
Investment universe	The investment universe, or market portfolio, includes all investable assets.
Unconventional Gas & Oil	Unconventional oil and gas is defined as oil and gas extraction activities deviation from coventional methods. It includes revenues from oil sands, oil shale (kerogen-rich deposits), shale gas, shale oil, coal seam gas, and coal bed methane. It excludes all types of conventional oil and gas production including Arctic onshore/offshore, deepwater, shallow water and other onshore/offshore.
Controversial weapons	Controversial weapons include particularly biological weapons, nuclear weapons, chemical weapons, land mines and cluster munitions.
UNGC / UNGC Principles	The UN Global Compact is the world's largest corporate sustainability initiative with 13000 corporate participants and other stakeholders over 170 countries with two objectives: "Mainstream the ten principles in business activities around the world" and "Catalyse actions in support of broader UN goals", such as the Millennium Development Goals (MDGs) and Sustainable Development Goals (SDGs).
UNGC Compliance Overview	Shows the UNGC check statistics and key figures of the portfolio. Investments are classified and categorized as passed, watchlist or failed holdings and holdings which are not covered by this analysis. Investments are based on their market value in the portfolio.
Greenwashing	The tendency by an entity to misrepresent, mislead or oversell to its clients, the Environmental or Sustainable characteristics and/or benefits of a product or policy, via specious communication or marketing material.
Sustainability Safeguards	The purpose of the sustainability safeguards is to set a standard for minimum sustainability requirements to be fulfilled by securities investment portfolios with a dedicated ESG or Impact strategy managed by Swiss Life Asset Managers
Eligible universe	The eligible universe contains all the instruments who are eligible to receive an ESG score. For example, corporate bonds, listed equities, SSA and government related bonds considered as corporates.
Covered universe	The assets in the eligible universe that are covered by the appropriate ESG data are called covered universe.
SFDR	The Sustainable Finance Disclosure Regulation (SFDR) is a European regulation introduced to improve transparency in the market for sustainable investment products, to prevent greenwashing and to increase transparency around sustainability claims made by financial market participants.
MiFID II Sustainability Preferences	A new requirement, which came into effect in August 2022, means that advisers must now ask their clients about their sustainability preferences as part of the existing MiFID II suitability assessment. The three preferences are outlined as i) Addressing the principal adverse impacts (PAI), ii) sustainable investment objective or iii) environmental sustainable investment objective (EU Taxonomy-aligned)
PAI	Principal Adverse Impacts on sustainability are the negative externalities caused by a company either through its economic activity or its products and services (throughout their life cycle), onto the planet and people.
KPIs	Key-Performance-Indicators are a quantifiable measure of performance over time for a specific objective.
Carbon Footprint Scope 1,2	Scope 1 emissions are direct greenhouse (GHG) emissions that occur from sources that are controlled or owned by an organization (e.g., emissions associated with fuel combustion in boilers, furnaces, vehicles). Scope 2 emissions are indirect GHG emissions associated with the purchase of electricity, steam, heat, or cooling. Although scope 2 emissions physically occur at the facility where they are generated, they are accounted for in an organization's GHG inventory because they are a result of the organization's energy use.
Carbon Footprint Scope 3	Scope 3 emissions are the result of activities from assets not owned or controlled by the reporting organization, but that the organization indirectly impacts in its value chain.
Transition to net zero	Net zero emission means that all man-made greenhouse gas emissions must be removed from the atmosphere through reduction measures, thus reducing the Earth's net climate balance, after removal via natural and artificial sink, to zero. Transition to

	net zero means the efforts of companies and sovereigns to become net zero in that sense.
Paris-alignment	Companies or sovereigns which are aligned with their operations and activities with the long-term mitigation goal of limiting global warming to well below 2°C and pursuing 1.5°C as defined in Agreement from the COP 15 in Paris in 2015.
Controversies	Controversies assess the impact of company operations and/or products and services that allegedly violate national or international laws, regulations, and/or commonly accepted global norms. The assessment is done based on severities: very severe, severe controversies, moderate controversies, minor controversies, no controversies.
TCFD	The Task Force on Climate-related Financial Disclosures (TCFD) was created with the aim to increase transparency and develop voluntary, consistent climate-related financial risk disclosures used by companies to provide information to investors, lenders, insurers, and other stakeholders.
Sustainable Investment	An investment that has the intention to generate a positive and measurable, environmental or social impact through the financing of specific economic activities, while ensuring that the financed companies follow good governance practices.
ESG Benchmark Coverage	The figures provided are understood as percentage of the market value of the benchmark's constituents, which could be rated with MSCI ESG data.
ESG Portfolio Coverage	The figures provided are understood as percentage of the market value of a portfolio's holdings, which could be rated with MSCI ESG data.
Label ISR	The Label ISR is a tool for choosing sustainable and responsible investments. Created and supported by the French Finance Ministry, the label goal is to increase the visibility of ISR products among investors in France and Europe. The ISR investment aims at reconciling economic performance, social and environmental impact by financing companies contributing to a sustainable development in all business sectors. The Label ISR, issued at the end of a strict process of labelling led by independent bodies, constitutes a unique mark for the investors wishing to participate in a more sustainable economy. To obtain The Label ISR, the fund must meet a set of criteria broken down into six topics defined by order. • the general (financial and ESG) objectives of the fund. This entails verifying that these objectives are clearly defined and described to investors and taken into account when formulating the fund's investment policy • the ESG criteria analysis and rating methodology used by the companies in which the fund invests • the inclusion of ESG criteria during the portfolio's development and existence • the ESG engagement policy with the companies in which the fund invests (voting and dialogue) • fund management transparency • measurement of the positive impacts of ESG management on the development of a sustainable economy.
Traditional products	Traditional products from Swiss Life Asset Managers embody ESG consideration in risk management, without imposing significant constraints on the investment universe, nor specific sustainable objective for the portfolio.
ESG products	ESG products from Swiss Life Asset Managers promote ESG characteristics by setting a clear objective to significantly improve the ESG quality of the portfolio compare to a benchmark while mitigating sustainability risk.
Sustainable Impact products	Sustainable Impact products from Swiss Life Asset Managers define ambitious and measurable sustainable impact objective alongside the financial objective of the portfolio with the intention to contribute positively to the environment or society while further mitigating sustainability risk.
EU Taxonomy	The EU Taxonomy is a cornerstone of the EU's sustainable finance framework and an important market transparency tool that helps direct investments to the economic activities most needed for the transition, in line with the European Green Deal objectives. The EU Taxonomy framework defines how business activities need to be conducted to contribute significantly to one of the six environmental objective: (1) climate change mitigation, (2) climate change adaptation, (3) sustainable use and protection of water and marine resources, (4) transition to a circular economy, (5) pollution prevention and control, and (6) protection and restoration of biodiversity and ecosystems. The business activities need to respect further the DNSH and minimum social safeguards criteria to be accounted as EU Taxonomy-aligned.
Do No Significant Harm (DNSH)	'do no significant harm' means not supporting or carrying out economic activities that do significant harm to any environmental objective, where relevant, within the meaning of Article 17 of Regulation (EU) 2020/852.
SVVK-ASIR exclusion list	"Recommendations for exclusion" in the form of a list from the Swiss Association for Responsible Investment (SVVK-ASIR). This association provides screening and engagement services for its members so that they can take responsibility towards the environment, society and the economy holistically in their investment decisions.
Thermal coal	Coal burned, primarily in boilers, to generate steam for the production of electricity or for process heating purposes, or used as a direct source of process heat. Thermal coal, also known as steam coal, refers to all coal not classified as coking (or metallurgical) coal.
RTS	The Joint Committee draft Regulatory Technical Standards (RTS) on ESG disclosures have been developed by the three European Supervisory Authorities (EBA, EIOPA and ESMA) under the EU Regulation on sustainability-related disclosures in the financial services sector Regulation (SFDR), which aims to strengthen protection for end-investors and improve the disclosures that they receive from a broad range of financial market participants and financial advisers, as well as regarding financial products.
Double materiality concept	The concept of 'double-materiality' was first formally proposed by the European Commission (European Commission, 2019) in Guidelines on Non-financial Reporting: Supplement on Reporting Climate-related Information published in June 2019. It encourages a company to judge materiality from two perspectives (European Commission, 2019, p.6): 1) "the extent necessary for an understanding of the

	SDG company’s development, performance and position” and “in the broad sense of affecting the value of the company”; 2) environmental and social impact of the company’s activities on a broad range of stakeholders.
The Sustainable Development Goals (SDGs), also known as the Global Goals, were adopted by the United Nations in 2015 as a universal call to action to end poverty, protect the planet, and ensure that by 2030 all people enjoy peace and prosperity. The 17 SDGs are integrated—they recognize that action in one area will affect outcomes in others, and that development must balance social, economic and environmental sustainability.	OECD Guidelines for Multinational Enterprises The OECD Guidelines for Multinational Enterprises (OECD Guidelines) are recommendations from governments to multinational enterprises on responsible business conduct. The OECD Guidelines set standards for responsible business conduct across a range of issues such as human rights, labour rights, and the environment.
Evolving climate-related metrics	We have developed methodologies that we use to show metrics such as carbon intensity and footprint or management to net zero, at portfolio level. These methodologies underly the metrics that are disclosed in this report. Standard-setting organizations and regulators continue to provide new or revised guidance and standards, as well as new or enhanced regulatory requirements for climate disclosures. Our disclosed metrics are based upon data available to us, including estimates and approximations where actual or specific data is not available. We intend to update our methodologies, metrics and disclosures to comply with new guidance and regulatory requirements as they become applicable to Swiss Life Asset Managers. Such updates may be substantial.
Global warming alignment (°C)	This metric reports the Implied Temperature Rise (ITR) and provides an indication of how companies and investment portfolios align to global climate targets. For further information on ITR, refer to the MSCI methodology document. Data provider: MSCI ESG Research. ITR is reported, when applicable (data coverage >40%), for transparency purposes and may not be used to manage a product. Swiss Life Asset Managers may use alternative methodologies and metrics to construct or measure portfolio performance across specific strategies, and these may not be directly comparable to ITR. For more details on how the product is managed, please refer to the product documentation.
Exposure to Fossil Fuel Activities	For the exposures to thermal coal, the threshold of 10% of revenues applies to activities directly linked with the mining and selling of thermal coal. The scope of activities includes the whole value chain where data is available. The 5% threshold is required by the SCS template for disclosure purposes and may not reflect how the product is managed. For thresholds as to how the product is managed, please refer to the product documentation.

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